

ZOETIS INC. (NYSE: ZTS)

De-rated to Value Territory: A Quality Franchise Priced for Decline

Equity Research Note · Healthcare — Animal Health · September 19, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$108.00	\$71.40 Sep 19, 2026	+51%	High Beta ~0.70

Market cap	\$30.2 bn	Shares out. (diluted)	~423 mn
Enterprise value	~\$36.9 bn	52-week range	\$71.00 – \$149.54
Net debt / EBITDA	~\$6.7 bn / ~1.7x	YTD / 1-yr return	-43% / -51%
2026E revenue (guide)	\$9.12 – \$9.32 bn	2026E adj. EPS (guide)	\$6.15 – \$6.25
Trailing P/E / EV/EBITDA	11.9x / 9.4x	FCF yield / Div. yield	7.6% / 3.0%
Consensus rating	Hold	Consensus price target	~\$101 – \$107

Thesis in one paragraph: The world's largest animal-health company has lost half its market value on two guidance cuts, a soft U.S. companion-animal market, and a Librela safety overhang — yet it still earns 38% operating margins, converts a quarter of revenue to free cash flow, and holds a pipeline of 12+ potential \$100M blockbusters. At 12x trailing earnings with a 7.6% free-cash-flow yield, the market prices Zoetis as a declining asset; we see a temporarily impaired compounder whose 3-month OA-pain antibodies, long-acting Cytopoint, and diagnostics push can re-accelerate growth from 2027. Our scenario-weighted DCF gives \$112; blended with relative multiples, our target is \$108 (+51%).

Key risks to the call: Librela safety scrutiny (FDA/EMA) and the related class action; U.S. companion-animal demand not recovering; branded JAK-inhibitor entrants taking more dermatology share; a third guidance cut.

1. Investment Thesis

Why the stock is hated. Zoetis cut full-year 2026 guidance twice (May and August): revenue guidance fell from \$9.83–\$10.03 bn to \$9.12–\$9.32 bn and adjusted EPS from \$7.00–\$7.10 to \$6.15–\$6.25, implying an *organic decline* of 1–3%. The U.S. companion-animal business fell 11% in both Q1 and Q2 2026 as vet-clinic visits declined, pet owners pushed back on prices, and new branded JAK inhibitors (Elanco's Zenrelia, Merck's Numelvi) attacked the Apoquel dermatology franchise. On top of that sits the Librela overhang: an FDA "Dear Veterinarian" letter (Dec 2024), U.S. label updates with a mandatory client information sheet (Feb 2025), a UK label update flagging bone/joint findings (Jun 2026), an in-depth EMA review, and a securities class action filed after May's

21.5% plunge. Consensus collapsed from “Moderate Buy” with a ~\$153 target to “Hold” with ~\$101–\$107.

Why we disagree with the price, not the facts. Every one of those headwinds is real — and priced. What the price misses:

Franchise economics are intact. 37.8% GAAP operating margin (FY2025), ~72% gross margin, ~24% FCF margin, ~78% ROE. These are software-like economics with a manufacturing moat behind them. The 2026 earnings hole is demand/mix, not structural margin collapse.

Multiple compression is extreme. Zoetis traded at 25–35x forward earnings for most of the last decade. At 11.5x forward and 9.4x EV/EBITDA, it is cheaper than Elanco on a quality-adjusted basis and in line with generic-pharma multiples — for a company that has grown revenue at a ~9% CAGR since its 2013 spin-off.

The OA-pain franchise is being reinvented, not abandoned. Lenivia and Portela — the first 3-month anti-NGF antibodies — were approved in Canada and the EU in Q4 2025 and launched in 2026. Monthly Librela's dosing burden and safety noise are precisely what a longer-acting successor addresses; the installed base of ~21M+ doses is the launchpad.

The pipeline is the deepest in company history: 12+ candidates each with \$100M+ potential across obesity, oncology, chronic kidney disease, cardiology and anxiety; a major-market approval targeted every year; long-acting Cytopoint expected in the U.S. by end-2026; Simparica DUO in 2027.

Capital returns are aggressive at the lows. The \$6B buyback program has \$1.3B remaining; 11M shares were retired in H1 2026 (~\$1.16B) at an average ~\$105. The dividend was raised for the 13th straight year to \$2.12 annualized (3.0% yield, ~35% payout). Management is buying its own dip.

Variant view vs. consensus: sell-side models extrapolate 2026's U.S. companion-animal weakness indefinitely. We model a cyclical trough: U.S. revenue back to low-single-digit growth in 2027 as price-sensitivity laps, the retail-channel strategy beds in, and new launches contribute. That single assumption — normalization, not heroics — bridges most of the gap between \$71 and our \$108 target.

2. Company Overview

Zoetis is the world's largest animal-health company (~18% global share), discovering, developing, manufacturing and commercializing medicines, vaccines and diagnostics for companion animals (dogs, cats, horses) and livestock (cattle, swine, poultry, fish, sheep). It markets directly in ~45 countries and sells in 100+. Born as Pfizer's animal-health division (1952), it IPO'd at \$26 in February 2013 — the largest U.S. IPO since Facebook — with Pfizer fully exiting by June 2013. HQ: Parsippany, NJ. Employees: ~14,500. CEO Kristin Peck (since 2020).

Revenue mix (FY2025, \$9,467M)

Segment	Revenue (\$M)	% of total	2025 growth
Companion animal	\$6,587	69.6%	+5%
Livestock	\$2,764	29.2%	–5% rep. / +8% organic*
Contract mfg / human health	\$116	1.2%	—
United States	\$5,097	53.8%	83% companion / 17% livestock
International	\$4,254	44.9%	56% companion / 44% livestock

* Livestock reported decline reflects the MFA divestiture; organic operational growth was +8%. Species split: dogs & cats \$6,283M; cattle \$1,492M; poultry \$432M; swine \$466M; fish \$286M; horses \$304M. Source: Zoetis Q4/FY2025 press release (BusinessWire, 2/12/2026).

3. Financial Review

A decade of compounding, then a 2026 air pocket. Revenue grew at ~9% CAGR from the 2013 spin-off through 2025; adjusted EPS compounded faster (~12%) on buybacks. FY2025 still printed record results — \$9.47B

revenue, 37.8% operating margin, \$6.41 adjusted EPS — before U.S. companion-animal demand rolled over in 2026.

\$M except EPS	FY2024	FY2025	FY2026E (guide mid)
Revenue	\$9,256	\$9,467	\$9,220
Revenue growth (organic operational)	+11%	+6%	–2%
GAAP operating income	\$3,358	\$3,582	~\$3,300
GAAP operating margin	36.3%	37.8%	~36%
Net income (GAAP)	\$2,486	\$2,673	—
Diluted EPS (GAAP)	\$5.47	\$6.02	—
Adjusted diluted EPS	\$5.92	\$6.41	\$6.20
Free cash flow	~\$2,320	\$2,300	~\$2,050
R&D; / SG&A; (% of revenue)	7.4% / 25.0%	7.4% / 25.1%	~7.5% / ~25%
Dividend per share	\$1.73	\$2.00	\$2.12

Sources: Zoetis 10-K (FY2025), Q4/FY2025 and Q2 2026 press releases; FY2026E per Aug-2026 guidance midpoints, FCF estimated.

The quarter that broke the multiple

Q2 2026 (Aug 6): revenue \$2,468M, flat y/y (–1% organic); adjusted EPS \$1.87 (+5% reported, +4% organic) — a 1% EPS beat on a 1.5% revenue miss. The U.S. fell 7% (companion animal –11%: dermatology and Simparica Trio pressured by price sensitivity and competition; Cerenia/Convenia generic erosion; lower Librela sales) while U.S. livestock surged 23% on cattle and poultry. Margins compressed (operating margin 37.4% vs 39.1% PY). **Q1 2026 (May 7)** was worse: revenue \$2.26B (+3%, miss), adjusted EPS \$1.53 (miss), U.S. companion –11% — and the stock fell 21.5% in a day.

Guidance cuts — twice in three months

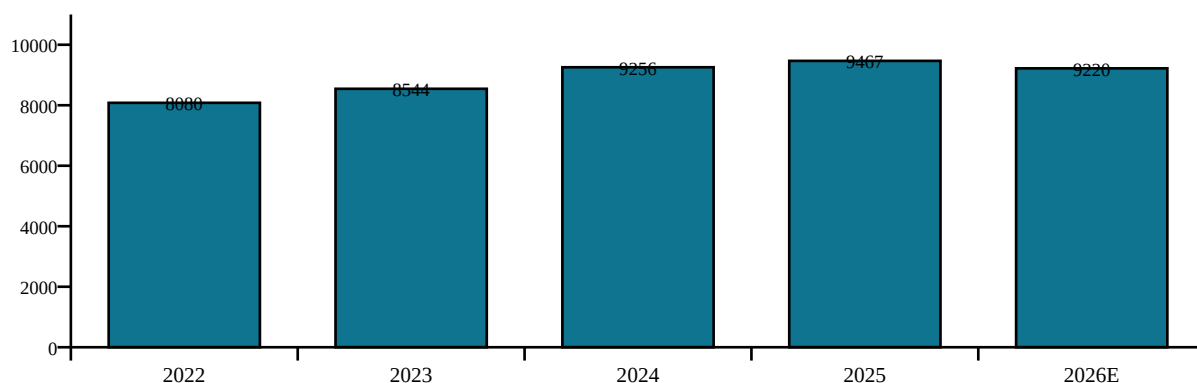
	Feb 2026 (initial)	May 2026 (Q1)	Aug 2026 (Q2, current)
Revenue	\$9.83–\$10.03B	\$9.68–\$9.96B	\$9.12–\$9.32B
Organic operational growth	+3% to +5%	cut	–3% to –1%
Adjusted diluted EPS	\$7.00–\$7.10	\$6.85–\$7.00	\$6.15–\$6.25

Midpoint revenue cut: –7.1%. Midpoint adj. EPS cut: –12%. Price contribution assumption trimmed to 1–2%. CFO (Sep 2026): assumptions tracking; next update in November. The bar is now low — and beatable.

Dividend & balance sheet

The dividend was raised 6% in Dec 2025 to **\$0.53/quarter (\$2.12 annualized)** — the **13th consecutive annual increase**, with a 5-year annualized growth rate near 20%. At \$71.40 the yield is **~3.0%** on a conservative **~35% payout ratio**; there is ample room to keep raising through the trough. Balance sheet: ~\$2.5B cash against ~\$9.0B long-term debt (including \$2.0B of 0.25% converts due 2029 issued Dec 2025 to fund buybacks); net debt/EBITDA ~1.7x; ratings A3 (Moody's) / BBB+ (S&P), both stable. The **\$6B buyback program has \$1.3B remaining**; 11.0M shares were retired in H1 2026 for \$1.16B, cutting diluted shares 6.2% y/y. Five-year EPS CAGR (9.2%) has run well ahead of revenue CAGR (6.3%) — buybacks are a structural EPS driver.

Revenue & adjusted EPS trajectory (\$M / \$)



Revenue: \$8,080M (2022) → \$8,544M (2023) → \$9,256M (2024) → \$9,467M (2025) → ~\$9,220M (2026E guide mid). Adj. EPS: \$4.96 → \$5.32 → \$5.92 → \$6.41 → \$6.20E. Sources: company filings; 2026E per guidance.

4. Product Portfolio Evaluation

We score each franchise on growth, defensibility, and LOE risk. The portfolio's center of gravity is shifting from small-molecule dermatology/parasiticides toward monoclonal antibodies and diagnostics — higher-moat, higher-duration assets.

Franchise (molecule)	FY2025 sales	Growth	Assessment
Dermatology: Apoquel (oclacitinib) + Cytoint (lokivetmab)	\$1,743M	+6%	Crown jewel under siege. Apoquel holds ~87% U.S. share but faces its first real branded JAK competition (Zenrelia, Numelvi). CEO guides first LOE to 2032 (ex-chewable) — far better than feared. Long-acting Cytoint expected in U.S. by end-2026.
OA-pain mAbs: Librela (bedinvetmab, dogs) + Solensia (frunevetmab, cats)	\$568M	–2%	The controversy. Librela \$423M (–5%) with U.S. declines on safety scrutiny; Solensia intl +19%. No mAb competitor exists. Lenivia/Portela (3-month dosing) launched in Canada/EU 2026 — the franchise's second act.
Parasiticides: Simparica franchise / Simparica Trio	\$1,504M / \$1,194M	+11% / +12%	Strongest grower. U.S. share leader (~2x #2); share slipped ~1pt in Q2 2026. Threat is branded (BI's NexGard €1.4B), not generic — no disclosed generic filing. Simparica DUO (2027) extends the line.
Anti-infectives / other: Draxxin, Convenia, Cerenia, ProHeart, Revolution	n/d individually	mixed	Cerenia and Convenia already face U.S. generics (flagged in Q2 PR) — contained, legacy drag. ProHeart grew in Q4 2025. Convenia reformulation due 2028–29.
Diagnostics: Vetscan, Imagyst, Opticell + VitalRADS/VPG	\$104M qtr (+12%)	+12%	Small but strategic. Acquisitions of VitalRADS (Jul 2026) and Veterinary Pathology Group (Nov 2025) push Zoetis beyond in-vitro into imaging interpretation vs. IDEXX.

Sales per Zoetis FY2025 earnings slides. n/d = not disclosed.

Librela safety: separating signal from noise

The facts, in order: FDA “Dear Veterinarian” letter (Dec 2024) citing 3,600+ adverse-event reports; U.S. label update plus mandatory Client Information Sheet (Feb 2025); EMA in-depth review launched (late 2025); UK label update adding very-rare bone/joint findings (Jun 2026); a 2026 JAVMA review flagging rapidly progressive OA; FDA draft mAb safety guidance (Sep 2026). Against this: 21M+ doses distributed, side effects described by Zoetis as rare, and the CMO publicly standing behind the product. Our read: the safety cloud caps Librela's monthly-injectable trajectory, but it does not strand the franchise — the 3-month successors were designed for

exactly this moment. The residual tail risk is the class action and any EMA restriction; both are 2027 stories, and both are in the price at 12x earnings.

5. Pipeline & Growth Drivers

R&D runs ~\$700M/year (~7% of sales) — the largest absolute budget in animal health — and management targets a significant approval in a major market *every year*. More than 12 candidates are each credited with \$100M+ potential across five new therapeutic frontiers (obesity, oncology, chronic kidney disease, cardiology, anxiety) where Zoetis today has minimal presence: pure whitespace.

Window	Expected approvals / launches
2026	Long-acting OA mAbs Lenivia/Portela (achieved — launched Canada/EU); long-acting Cytopoint U.S.; next-gen chemistry Dx; HVT-ND poultry vaccine
2027	Renal mAb therapy; Simparica DUO ; needle-free swine vaccines; DNA vaccine
2028–2029	Dermatology mAb; oncology mAbs 1 & 2; Convenia reformulation; parasite vaccines
2030+	Obesity therapeutic; anxiety therapeutic; cardiology solution; long-acting parasiticide; oral vaccines

Per Zoetis Corporate Overview (Apr 2026). Beyond the pipeline, three structural drivers: (1) **emerging markets** — Simparica Trio launched in Brazil; China is 72% companion-animal mix; (2) **diagnostics** — moving up the value chain into imaging/teleradiology; (3) **livestock recovery** — U.S. livestock +23% in Q2 2026 on cattle/poultry, plus H5N2 and screwworm vaccine optionality. The global animal-health market is growing ~6–11% annually depending on scope; Zoetis at ~18% share has the distribution to take more than its share.

6. Competitive Landscape

Company	2025 AH sales	Growth	Key brands / threat
Zoetis	\$9,467M	+2% (+6% organic)	Simparica, Apoquel/Cytopoint, Librela — #1 globally (~18% share)
Merck Animal Health	\$6,354M	+8%	Bravecto; Numelvi (new JAK vs Apoquel). Gaining in companion (+2%).
Boehringer Ingelheim AH	€4.9B	+6.5%	NexGard €1.4B (+8.5%) — top parasiticide brand vs Simparica
Elanco	\$4,715M	+6%	Zenrelia (new JAK vs Apoquel); GAAP net loss — financially stretched rival
IDEXX (diagnostics)	diagnostics leader	—	Owns the vet 'diagnostic desktop'; Zoetis attacking via Imagyst/Opticell/VitalRADS
Dechra / Virbac / Ceva	mid-tier	—	Niche companion/pharma and vaccine players; Dechra EQT-owned

The competitive map favors Zoetis' moat more than the stock suggests: its two most direct attackers in dermatology (Elanco, loss-making; Merck AH, a division) lack Zoetis' field force and mAb manufacturing scale, and in parasiticides the fight is brand-vs-brand where Zoetis still leads the U.S. 2-to-1. The structural threat is channel, not product: Chewy/retail and pet-owner price sensitivity are disintermediating the clinic — Zoetis' home field. Management's affordability and loyalty programs are the right response, but this is the variable to watch.

7. Moat & Risks

Moat — wide, in our view

Veterinarian embeddedness. Decades-deep field force and clinic-workflow integration create high switching costs; vets prescribe what they trust with patients they see repeatedly.

Biologics manufacturing. ~29 facilities in 11 countries; mAb and vaccine capacity is a genuine barrier — Elanco cannot replicate it on its balance sheet.

R&D scale + distribution. ~\$700M annual R&D and direct presence in ~45 countries let Zoetis out-develop and out-launch every rival.

Portfolio breadth. No single product exceeds ~18% of revenue; LOE events (Cerenia, Convenia) have been absorbed without derailing the P&L.

Risks — in order of stock relevance

1. **Librela safety/regulatory tail.** EMA review outcome, further label tightening, and the securities class action. A restrictive EMA decision would re-rate the OA franchise lower.
2. **U.S. companion-animal demand.** Two quarters of ~11% U.S. companion declines. If clinic visits and price sensitivity are structural (channel shift to retail), our 2027 normalization thesis fails.
3. **Dermatology share loss.** Apoquel at ~87% U.S. share with two new JAK entrants; faster-than-modeled erosion hits the highest-margin franchise.
4. **Execution on guidance.** A third cut would destroy the 'low bar' argument and likely take the stock to the \$50s.
5. **FX, livestock cyclicalities, China** — 45% of revenue is international; protein cycles and geopolitics are perennial swing factors.

8. Valuation

We triangulate fair value with three lenses: a scenario-weighted DCF (primary), relative multiples, and a dividend-discount cross-check.

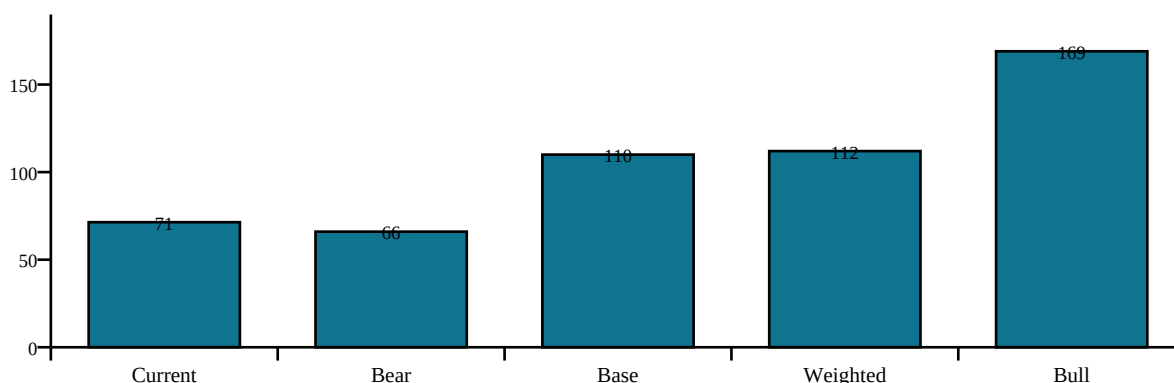
A. Discounted cash flow — scenario-weighted: \$112

WACC 7.5%: cost of equity 7.9% (4.25% risk-free + 0.70 beta × 5.25% ERP); after-tax cost of debt 4.3% (A3/BBB+); target weights 87% equity / 13% debt (net debt ~\$6.7B). Terminal growth 2.5% — well below the ~6%+ animal-health market growth, i.e., we assume share/margin fade, not compounding glory.

Scenario (weight)	Revenue 2030	FCF 2030	WACC / g	Equity value / share
Bear (30%) — U.S. demand stays soft; Librela restricted; 2–4% growth	\$10.5B	\$2.26B	8.0% / 2.0%	\$66
Base (45%) — normalization from 2027; pipeline delivers; 5–6.5% growth	\$11.6B	\$3.02B	7.5% / 2.5%	\$110
Bull (25%) — OA franchise re-accelerates; obesity/oncology options hit; 8–9% growth	\$12.9B	\$3.62B	7.0% / 3.0%	\$169
Probability-weighted DCF				\$112

Base case detail: revenue \$9.22B (2026E) → \$9.68B → \$10.26B → \$10.93B → \$11.64B; FCF \$2.05B → \$2.35B → \$2.57B → \$2.79B → \$3.02B (FCF margin recovering to ~26% on mix and operating leverage); net debt \$6.7B; ~423M diluted shares. Even the bear case (\$66) is only 8% below today's price — the downside is substantially in the price.

DCF scenario values vs. current price (\$)



B. Relative multiples — \$100–\$114 range

Zoetis at 11.5x forward earnings trades at a ~60% discount to its own 10-year average (~28x) and roughly in line with diversified pharma — an absurd peer group for a 38%-margin animal-health leader. On 2027E adjusted EPS of ~\$6.70 (revenue \$9.68B, ~38% operating margin, continued buybacks): **15x → \$100; 16x → \$107; 17x → \$114**. We use \$107 (16x — still a 40%+ discount to history, appropriate for the overhang). Cross-check on EV/EBITDA: 2027E EBITDA ~\$3.96B at 12–13x → \$96–\$106 per share. IDEXX, the closest quality comp, trades ~28x forward — the quality gap does not justify Zoetis at value multiples.

C. Dividend discount cross-check — \$80–\$95

Two-stage DDM: \$2.12 dividend growing 10% for 5 years (payout has headroom at 35%; 5-yr historical growth ~20%), then 4–5% terminal, 8% discount rate → **\$80–\$95**. The DDM deliberately understates value here — Zoetis returns most cash via buybacks (\$1.16B in H1 2026 alone), which the DDM ignores — so we treat it as a floor, not a target.

Football field & target derivation

Method	Value	Weight in target
DCF — base case	\$110	50%
Relative P/E (16x 2027E)	\$107	30%
Scenario-weighted DCF	\$112	20%
Blended fair value → 12-mo. target	\$108	100%

Blended: $0.50 \times 110 + 0.30 \times 107 + 0.20 \times 112 = \108 . Upside from \$71.40: **+51%**. For context, the sell-side consensus target sits at ~\$101–\$107 (Hold) — our target is at the top of the Street, but our *rating* differs because the Street's Hold embeds a multiple the business no longer deserves.

9. Recommendation

BUY — 12-month target \$108 (+51%), High risk. This is a classic fallen-quality setup: a wide-moat compounder (38% operating margins, 78% ROE, 13 straight dividend raises) trading at 12x earnings and a 7.6% FCF yield because two quarters of U.S. weakness and a safety controversy broke the growth narrative. The controversy is real but contained — and the pipeline (3-month OA antibodies launched, long-acting Cytopoint by year-end, renal mAb and Simparica DUO in 2027, obesity/oncology beyond) gives Zoetis more shots on goal than at any point in its listed history. Downside is cushioned: even our bear case (\$66) sits 8% below the current price, and the 3.0% dividend pays you to wait.

Position sizing & catalysts

Size it as a starter, not a full position: 1/3 to 1/2 of a full weight initially. Add on (a) Q3 results / November guidance update confirming stabilization, (b) U.S. long-acting Cytopoint approval, or (c) EMA review resolution. Cut on a third guidance cut or restrictive EMA action.

Catalysts (next 12 months): Q3 2026 print + guidance update (Nov 2026); long-acting Cytopoint U.S. approval (by end-2026); Lenivia/Portela early launch reads in Canada/EU; EMA CVMP review conclusion; evidence of U.S. clinic-visit stabilization.

What would change our mind: structural — not cyclical — U.S. companion demand (persistent double-digit declines into 2027); Apoquel share collapsing below ~70%; balance-sheet stress forcing the buyback/dividend to pause.

Risks to the call are detailed in Section 7; the single largest is a third guidance cut, which would likely take the stock toward the \$50s and invalidate the trough thesis.

Sources & methodology

Company: Zoetis Q4/FY2025 press release (BusinessWire 2/12/2026); Q2 2026 press release (BusinessWire 8/6/2026); Q2 2026 10-Q; FY2025 10-K; FY2025 earnings slides; Corporate Overview (Apr 2026); management commentary Sep 2026. Regulatory: FDA CVM, EMA/CVMP, UK VMD, JAVMA review. Market data: quote/market data Sep 19, 2026; consensus via MarketBeat/transcriptdaily; analyst actions via Zacks, StockStory, Piper Sandler, JPMorgan, TD Cowen, Stifel. Valuation estimates and scenarios are the author's. **This note is for informational purposes only and is not investment advice, an offer, or a recommendation to buy or sell any security. Investing involves risk, including loss of principal.**